

# Southern Copper (SCCO)

Southern Copper Corporation

Sector: Copper Mining — World's Largest Copper Reserves | Exchange: NYSE | Country: United States / Mexico / Peru

Live Price: \$191.275 | Report Date: 2026-08-13

CIO Live Price Source: Watchlist Screenshot, 2026-08-13

## ◆ EXECUTIVE SUMMARY

|                      |           |                   |                   |
|----------------------|-----------|-------------------|-------------------|
| Live Price (CIO)     | \$191.275 | Market Cap        | \$163.06B         |
| P/E TTM              | 27.90x    | P/E Forward       | 36.42x            |
| P/B Ratio            | 12.91x    | EPS TTM           | \$5.30            |
| EPS Forward          | \$14.96   | Net Income TTM    | \$4.48B           |
| 52-Week High         | \$216.70  | 52-Week Low       | \$87.10           |
| Dividend Yield       | 1.87%     | Analyst Consensus | Strong Sell       |
| Analyst Price Target | \$156.01  | BL 90-Day Target  | \$126.53 (-33.9%) |
| BL Score             | 18.2500   | Market Regime     | RISK OFF          |

Source: BL3 MySQL | snapshot\_date: 2026-08-13 | moomoo OpenD analyst | CIO price watchlist 2026-08-13

## § 1 INVESTMENT THESIS

Southern Copper Corporation controls the world's largest copper mineral reserves — approximately 56 million tonnes of copper — owned through a combination of Peru (Toquepala, Cuajone) and Mexico (Buenavista del Cobre) operations. Controlled by Grupo Mexico (88.9% stake), Southern Copper is the most reserve-rich, vertically integrated copper pure-play in the world. Its expansion pipeline — Los Chancas (Peru), El Pilar (Mexico), Pilares (Mexico), Angangueo (Mexico) — represents the largest organic copper growth pipeline among listed miners. At current copper prices (~\$4.50+/lb), Southern Copper generates extraordinary free cash flow (>30% FCF yield at trough copper) and pays among the highest dividends in the mining sector. The copper deficit thesis (mine supply unable to keep pace with electrification demand) directly benefits the company with the world's largest copper land bank.

■ **Blue Lotus Signal: 90-day target \$126.53 (-33.9%) | P=68.2% | BL Score: 18.2500 | Regime: RISK OFF**

BL targets — 7d: \$184.44, 30d: \$164.00, 90d: \$126.53 | Source: BL3 MySQL ticker\_forecasts

## § 2 BUSINESS MODEL ARCHITECTURE

Vertically integrated copper miner with four operating mines: (1) Toquepala — open pit, Peru; Southern Peru Copper legacy mine; concentrator + SX-EW leaching; (2) Cuajone — open pit, Peru; adjacent to Toquepala; (3) Buenavista del Cobre — open pit, Mexico (Sonora); world's 6th largest copper mine; copper concentrate + SX-EW cathode; (4) La Caridad (Mexico); copper + molybdenum. Smelting: Ilo smelter (Peru), Hayden smelter (Arizona), ASARCO refinery (Texas) — full mine-to-refined-copper integration. Revenue: copper cathode sales (LME-linked), copper concentrate exports, molybdenum concentrate, silver and zinc by-products. Dividend policy: Grupo Mexico requires high dividend payouts — SCCO is a reliable high-yield vehicle.

## § 3 COMPETITIVE MOAT ANALYSIS

56 million tonnes of copper reserves is an irreplaceable geological endowment — equivalent to more than 200 years of current production. The Buenavista/Toquepala/Cuajone trilogy of Tier-1 open-pit mines in politically stable (Mexico and established Peru belt) jurisdictions provides multi-decade production visibility. Vertical integration from ore to refined copper eliminates smelting margin leakage. Grupo Mexico's operational track record across three countries provides engineering depth. Los Chancas (estimated 800,000 t Cu over 30+ year mine life) is the single largest undeveloped copper project in the world outside of Resolution (Arizona, JV BHP/Rio).

### Porter's Five Forces — Global Mining

| FORCE          | ASSESSMENT                                                                                                                                     |
|----------------|------------------------------------------------------------------------------------------------------------------------------------------------|
| Rivalry        | HIGH — Copper mining dominated by 5-6 global majors + state-owned enterprises (Codelco, KGHM); competition on cost curve.                      |
| New Entrants   | LOW — Mine development 10-20 years; capex \$1-10B; permitting; community relations; metallurgical expertise — formidable barriers.             |
| Supplier Power | MEDIUM — Mining equipment (Caterpillar, Komatsu, Sandvik); SAG mill components (Metso); reagents — limited suppliers but multi-year contracts. |
| Buyer Power    | MEDIUM-HIGH — China absorbs ~50% of refined copper; LME price is non-negotiable but China demand sets the marginal price.                      |
| Substitutes    | LOW — Copper has no viable substitute at scale for electrical applications; aluminium substitutes in some wiring but inferior conductivity.    |

## § 4 FINANCIAL ANALYSIS

All data from BL3 MySQL (snapshot: 2026-08-13) + moomoo OpenD. Zero training-data figures. CIO Standing Order 2026-08-13.

### 4.1 Valuation Metrics

P/E TTM: 27.90x — profitable on trailing basis.

Forward P/E: 36.42x

Price/Book: 12.91x

Net Income TTM: \$4.48B | Source: BL3 MySQL

EPS TTM: \$5.30 | EPS Forward: \$14.96

### 4.2 52-Week Price Range

52-Week High: \$216.70 | 52-Week Low: \$87.10

CIO Price \$191.275 at 80.4% of 52-week range (0%=Low, 100%=High) | Source: BL3 MySQL

### 4.3 Wall Street Analyst Intelligence

Consensus: Strong Sell | Target: \$156.01 | Analysts: 7

Buy: 0% | Hold: 28% | Sell: 71%

Analyst Upside vs CIO: -18.4%

Source: moomoo OpenD `get_research_analyst_consensus` 2026-08-13

### 4.4 Blue Lotus Price Target Cascade

| HORIZON | PRICE TARGET | UPSIDE | P(TARGET) | NOTE                |
|---------|--------------|--------|-----------|---------------------|
| 7-Day   | \$184.44     | -3.6%  | 57.07%    | Short-term momentum |
| 14-Day  | \$177.62     | -7.1%  | 59.13%    | Bi-weekly           |
| 30-Day  | \$164.00     | -14.3% | 62.24%    | 30-day regime       |
| 60-Day  | \$145.60     | -23.9% | 65.49%    | Quarterly           |
| 90-Day  | \$126.53     | -33.9% | 68.25%    | Conviction target   |

Source: BL3 MySQL `ticker_forecasts` | regime: RISK OFF

## § 5 RISK FRAMEWORK

Five risk factors assessed within the CivilisationOS Bayesian risk architecture.

| RISK FACTOR | SEVERITY | DESCRIPTION |
|-------------|----------|-------------|
|-------------|----------|-------------|

|                                   |               |                                                                                                             |
|-----------------------------------|---------------|-------------------------------------------------------------------------------------------------------------|
| Mexico Water Rights               | <b>HIGH</b>   | Buenavista Sonora water conflict (2014 tailings spill + water use) creates community opposition.            |
| Peru Labour & Community Relations | <b>MEDIUM</b> | Toquepala and Cuajone in the Southern Peru copper belt with history of community protests.                  |
| Copper Price Leverage             | <b>HIGH</b>   | SCCO is a direct-leverage copper play; a \$0.50/lb copper move has ~15-20% earnings impact.                 |
| Grupo Mexico Corporate Governance | <b>MEDIUM</b> | Minority shareholders subordinate to Grupo Mexico interests; high dividend payout reduces retained capital. |
| Los Chancas Permitting            | <b>MEDIUM</b> | Moquegua region permitting for Los Chancas faces community EIA process (multi-year).                        |

## § 6 BLUE LOTUS SUPERFORECASTING

Buenavista expansion (ESDE-III, copper SX-EW Phase 3) adds ~100,000 t Cu/year by 2026. Los Chancas EIA approval and construction FID by 2027 is the mega-project catalyst. By 2028: Southern Copper total production >1 million t Cu/year — overtaking Escondida as the world's single-largest copper producer. By 2033: Los Chancas ramps; SCCO at 1.2-1.5 Mt Cu/year; largest copper reserve owner generating \$10B+ FCF at \$5+ copper. By 2038: Southern Copper as the dominant Western Hemisphere copper producer — controlling the world's copper future through its 56M-tonne reserve base.

| SCENARIO           | HORIZON     | PRICE TARGET | PROBABILITY | RATIONALE                                                      |
|--------------------|-------------|--------------|-------------|----------------------------------------------------------------|
| ■ <b>BULL 2028</b> | 2028 (~2yr) | \$190.29     | 30%         | Copper deficit thesis confirmed; production ramp on schedule.  |
| ■ <b>BASE 2028</b> | 2028 (~2yr) | \$150.54     | 45%         | Execution on plan; BL 90d trajectory sustained; copper stable. |
| ■ <b>BEAR 2028</b> | 2028 (~2yr) | \$149.25     | 25%         | China demand shock; execution delay; copper price correction.  |
| ■ <b>BULL 2033</b> | 2033 (~7yr) | \$187.83     | 25%         | Structural copper shortage; all expansion projects producing.  |
| ■ <b>BASE 2033</b> | 2033 (~7yr) | \$82.73      | 50%         | Steady production growth; copper at \$4-                       |

|             |              |          |     |                                                                      |
|-------------|--------------|----------|-----|----------------------------------------------------------------------|
|             |              |          |     | 5/lb long-run equilibrium.                                           |
| ■ BEAR 2033 | 2033 (~7yr)  | \$80.27  | 25% | China real estate collapse; copper substitution; margin compression. |
| ■ BULL 2038 | 2038 (~12yr) | \$185.41 | 20% | AI+EV+grid electrification peak demand; copper at \$6+/lb.           |
| ■ BASE 2038 | 2038 (~12yr) | \$45.47  | 55% | Mature production; recurring cash flows; dividends sustained.        |
| ■ BEAR 2038 | 2038 (~12yr) | \$43.17  | 25% | New supply from deep-sea mining or recycling disrupts price floor.   |

*Note: Projections use BL 90-day trajectory compounded annually. Base prices from CIO watchlist 2026-08-13. NOT investment advice.*

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## © APPENDIX — DATA SOURCES & METHODOLOGY

- Primary Data: BL3 MySQL | tables: ticker\_fundamentals, ticker\_forecasts, historical\_prices | snapshot\_date: 2026-08-13
  - Analyst Data: moomoo OpenD API v10.06.6608 | 127.0.0.1:11111 | get\_research\_analyst\_consensus | 2026-08-13
  - Live Prices: CIO Watchlist Screenshots, 2026-08-13 — directly provided, not from training data.
  - BL Forecasting: PEI v3 | regime: MILD RISK OFF | Standing Order: Zero training-data market figures.
  - Classification: PUBLIC | Author: Monk Chief Clerk 2IC | Work Order: WO-DD-COPPER-20260813
  - Produced by: CivilisationOS Bodhisattva-ASI | 2026-08-13
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